In this method, the maximum amount of credit flow to a particular sector is controlled. There are two methods of rationing of credit. They are:

CC.2. 3.a. Variable Portfolio Ceiling

CC.2. 3.b. Variable Capital–Risk Weighted Asset Ratio

CC.2. 3.a. Variable Portfolio Ceiling

The maximum amount of credit for various portfolios (various sector) is fixed. Different ceiling for different sector is fixed.

CC.2. 3.b. Variable Capital – Risk Weighted Asset Ratio

Capital to Risk Weighted Asset Ratio (CRAR) is also called Capital Adequacy Ratio (CAR). It signifies the availability of sufficient capital as a percentage of risk weighted assets. It is expressed in formulaic form as follows:

$$CRAR = Capital / Risk\ weighted\ assets \times 100$$

The balance sheet of banks that shows their financial position consists of two sides. One side shows the liabilities and the other shows assets. Liabilities refer to the amount of money the bank has to pay to others. So the shareholders money, that is capital, which the bank is liable to pay if claimed by shareholders, is shown on the liabilities side. The assets refer to the amount of money that has to be paid by others to banks. So, the loans lent by banks are listed on the asset side.

The RBI in its monetary policy assigns some risk to loans. This is based on the likely chance of a loan be repaid or not repaid. For example, a bank can expect surely that a loan paid to a rice vendor will be repaid but cannot expect a loan paid to a stock broker because stock exchange trading is a risky one. It means, lending to the stock broker is highly risky. So, the loan to the rice vendor may be assigned